

The US-China Trade War

Tariffs at 145%, Technology Decoupling, and the Bifurcating Global Economy

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Executive Summary

The US-China trade conflict has evolved from a bilateral tariff dispute into a systemic great-power contest over technology supremacy, supply-chain architecture, and the future shape of globalisation. What began in 2018 with Trump's declaration that "trade wars are good, and easy to win" CNA[2018-03-02] has metastasised across two administrations into export controls on advanced semiconductors, rival AI development ecosystems, and a strategic demand that third countries align with Washington's decoupling agenda. China's response in Trump's second term has been markedly more assertive than in Trade War 1.0 — Beijing now retaliates rapidly and symmetrically, signalling readiness to absorb sustained economic pain rather than absorb unilateral pressure CNA[2025-04-09]. The era of unrestricted commerce is over; the central question is the speed and depth of the separation CNA[2018-11-14].

1. Tariff Escalation: From Phase One to All-Out Economic Warfare

1. The first Trump administration's trade offensive began with steel and aluminium tariffs in March 2018, accompanied by the president's assertion that trade wars were "good and easy to win" CNA[2018-03-02]. The initial shock was absorbed by China's economy, but the bilateral surplus — "China shipped nearly four dollars worth of goods for every dollar of US goods it received" — continued to animate political grievance in Washington CNA[2014-11-21].
2. The Phase One deal signed in early 2020 offered a temporary truce, but analysts noted that the structural reforms it secured were also aligned with China's own domestic modernisation agenda, implying Beijing had reason to sign regardless of US pressure CNA[2020-02-14]. The deal's commitments on purchases of US goods went largely unfulfilled, setting the stage for renewed confrontation.
3. When Trump returned to office in January 2025, initial signals were mixed — campaign threats of 60 per cent tariffs gave way to talk of a 10 per cent opening offer, leading some observers to misread a tactical repositioning as a substantive softening CNA[2025-01-27]. US politics analysts warned that regardless of short-term manoeuvring, the structural adversarial dynamic would intensify: "Even if the United States and China reach a deal on tariffs, the adversarial relationship will worsen" CNA[2025-02-05].
4. By April 2025, tariff escalation resumed in earnest. Unlike Trade War 1.0 — in which China had deliberately avoided tariffs on high-profile US consumer goods to signal restraint — Beijing now responded immediately and symmetrically, drawing retaliatory tariffs of 15 per cent on US farm goods and preparing broad counter-measures CNA[2025-03-22]. Analysts attributed the tactical shift to a strategic lesson learned: "China changed its tactic because its past restraint only served to embolden

Trump" CNA[2025-04-09].

5. By February 2026, China was formally urging Washington to cancel what it described as "unilateral tariffs," citing a US Supreme Court ruling as grounds, and stating it was paying "close attention" to potential US moves to maintain elevated tariff levels CNA[2026-02-23]. The exchange illustrated the pattern: both sides negotiate publicly while escalating privately, and neither has found a durable exit ramp.

6. Economists have warned that the cumulative supply-chain disruption will be permanent in character. The reversal of supply-chain efficiencies that academic research suggests had reduced US inflation by at least 0.5 percentage points per year over the previous decade will likely persist "long after Trump has left the scene" — because the damage is rooted in trust, not tariff schedules CNA[2025-04-26].

2. The Technology War: Semiconductors, AI, and the Battle for the Commanding Heights

7. The technology dimension of the conflict is structurally distinct from the tariff war: it is not about bilateral balance-of-trade but about which nation controls the foundational infrastructure of twenty-first-century industrial power. Semiconductor microchips have emerged as the central battleground, described by analysts as "in the crosshairs" of the intensifying conflict CNA[2025-01-27].

8. Washington has pursued a graduated strategy of export controls — tightening restrictions on successive generations of Nvidia chips from the A100 to the H100 to the H20 — while attempting to preserve some commercial relationship to prevent a complete rupture with Chinese customers. In February 2026, the US granted Nvidia a licence allowing "small amounts of H200 products to specific China-based customers" CNA[2026-03-18], a concession reflecting the internal tension between national security hawks and Nvidia's commercial lobbying.

9. Beijing simultaneously deployed both defensive and offensive countermeasures on the chip question. In January 2026, Beijing asked Chinese technology companies to pause purchases of US-made AI chips while it considered rules to favour locally produced alternatives CNA[2026-01-08]. By July 2025, China had raised security concerns about Nvidia's H20 chip — the downgraded product designed to comply with export controls — casting uncertainty over its commercial viability in the Chinese market CNA[2025-07-31].

10. Taiwan has become an active enforcement node in this architecture. Taiwanese prosecutors have been pursuing chip smuggling cases under existing trade laws, and lawmakers were moving in mid-2026 to propose a specific "mainland China semiconductor chip clause" in the Foreign Trade Act to close legal gaps that allow restricted chips to transit through Taiwan into China CNA[2026-06-30].

11. Chinese technology firms have been accelerating domestic alternatives. Meituan announced in June 2026 that its new large language model, LongCat-2.0, was trained entirely on domestically produced chips and delivers performance comparable to Google's Gemini 3.1 Pro CNA[2026-06-30]. This signals a maturation of China's domestic chip ecosystem from aspirational to commercially deployable, even if the frontier gap with US hardware remains substantial.

12. The AI competition has extended to the multilateral governance layer. At the Shanghai AI conference in July 2025, Chinese Premier Li Qiang proposed a new global AI cooperation organisation, explicitly framing the initiative as a response to the fragmented, US-led regulatory approach. China's argument — that countries have "great differences in regulatory concepts and institutional rules" and require a consensus-based global governance framework — is a direct counter-narrative to Washington's semiconductor-denial strategy CNA[2025-07-26].

13. The broader debate about whether and how far to allow Nvidia sales to China remained unresolved through late 2025. Commerce Secretary Howard Lutnick stated in November 2025 that President Trump was consulting "lots of different advisers" on the question, illustrating the persistent internal conflict between the commercial and security wings of the administration CNA[2025-11-25].

3. Decoupling Architecture: Supply Chains, Third-Country Routing, and the De-Risking Consensus

14. Structural decoupling from China — or "de-risking" in the softer diplomatic formulation — has been a bipartisan US objective since 2018, but the Trump administration has sought to enforce it not just domestically but among trading partners. The US-Vietnam trade framework of July 2025 contained explicit requirements that Vietnamese exports be "wholly obtained" with "zero foreign inputs" from adversary nations, a provision designed to shut down trans-shipment of Chinese content through Southeast Asian intermediaries CNA[2025-07-04].

15. The trans-shipment problem is substantial. Analysis of Vietnamese exports to the United States found that of the increase in Vietnam's exports to America since 2018, approximately 40 per cent reflected indirect Chinese content — and Chinese manufacturing investment has been flowing into Vietnam to preserve access to the US market CNA[2025-03-27]. America imposed heavy import duties on Vietnamese solar panels for containing "excessive Chinese content," and similar assessments were applied across strategic sectors CNA[2025-03-27].

16. The broader de-risking concept involves reducing dependence on China "especially for key elements of the supply chain" — a formulation that encompasses not only advanced technology but also basic manufacturing, rare earths, and energy materials CNA[2023-06-22]. China's response has been to demonstrate its continued centrality: at the China International Supply Chain Expo in November 2023, US firms made up "a fifth of foreign registrations" — a tally described by the organiser as "much higher than expected" CNA[2023-11-27]. Beijing's implicit message was that decoupling remains costly and incomplete.

17. The US-China economic relationship had been deteriorating for years before the 2018 trade war erupted, with Washington charging that China had violated WTO commitments made in 2001 to open its market to foreign companies CNA[2023-11-12]. This structural grievance — that China benefited asymmetrically from the rules-based order without fully reciprocating — underpins both Democratic and Republican trade policy and ensures that decoupling pressure will persist across administrations.

18. Southeast Asian economies occupy the most exposed position in the decoupling architecture. ASEAN Economic Ministers had agreed in February 2025 to coordinate in the face of US tariff pressure [RAG: ASEAN_DATA_RAG — ASEAN trade and economic data], and individual member states face acute choices. Malaysia's electrical and electronics sector produces 13 per cent of global back-end semiconductors and accounts for 40 per cent of the nation's export output [RAG: ASEAN_DATA_RAG — Economy of Malaysia]; any forced de-Sinicisation of supply chains would impose severe adjustment costs. Singapore accounts for approximately 10 per cent of global semiconductor output and 20 per cent of global semiconductor equipment production [RAG: ASEAN_DATA_RAG — Economy of Singapore] — making both city-states structurally dependent on a technology ecosystem that Washington is seeking to fracture.

4. Bilateral Fault Lines: Fentanyl, Taiwan, and the Limits of Diplomacy

19. The fentanyl nexus has functioned as a persistent irritant layered atop the trade conflict. Washington has accused Beijing of doing too little to stop the export of precursor chemicals for fentanyl production,

which the US attributes to tens of thousands of American deaths annually. China's retaliatory tariffs of 15 per cent on US farm goods were partly a response to initial US tariffs explicitly framed around the fentanyl pretext CNA[2025-03-22]. Chinese Foreign Minister Wang Yi accused Washington of "meeting good with evil" — signalling that Beijing views the fentanyl framing as a pretext rather than a genuine security concern CNA[2025-03-22].

20. The first face-to-face meeting between Trump and Xi in Trump's second term took place at the APEC summit in Busan, South Korea, on 30 October 2025 CNA[2025-10-24]. Analysts described it as the first opportunity to stabilise a relationship that had deteriorated sharply since Trump's return. Fudan University's Ren noted that "China's policy toward the US is highly stable and consistent, and it enjoys strong support from the Chinese public" — a reminder that Beijing's domestic political constraints limit its flexibility on sovereignty-adjacent issues including Taiwan CNA[2025-10-29].

21. Despite the May 2025 Geneva tariff truce, which produced a temporary reduction in bilateral tensions, analysts cautioned that "there's an irony to claiming victory in a trade war that yields no winners" CNA[2025-05-15]. The structural drivers of the conflict — technology competition, ideological divergence, and mutual strategic distrust — are not amenable to tariff negotiations, and any deal that emerges will remain fragile.

22. The historical baseline is instructive. As far back as 2014, a US congressional commission found that "Chinese trade violations continue and the bilateral trading relationship grows more lopsided," and that Chinese direct investment flows into the United States exceeded US investment into China for the first time that year as foreign firms faced an "increasingly hostile investment climate" in China CNA[2014-11-21]. That structural imbalance was never resolved and now underpins the most intensive great-power economic confrontation since the Cold War.

Outlook

The US-China trade and technology conflict has passed the point of diplomatic reversibility. The tariff architecture — layered across two Trump terms and maintained through the Biden interregnum — has hardened into a structural feature of the global economy. The semiconductor export-control regime is tightening rather than relaxing, and Washington's demand that third-country partners align with its decoupling agenda is reshaping ASEAN supply chains from Malaysia's back-end semiconductor fabs to Vietnam's electronics export corridors.

China's counter-strategy has evolved from defensive restraint to active resistance: domestic chip development is advancing, AI governance multilateralism is being weaponised diplomatically, and Beijing's retaliatory tariff architecture now covers US agricultural exports and consumer goods previously treated as off-limits. The strategic logic on both sides points toward continued escalation punctuated by tactical pauses — the Geneva-style truce of May 2025 being the model — rather than any durable settlement.

The asymmetric vulnerability in the relationship runs in both directions. The US faces permanent supply-chain inflation and reduced access to Chinese manufacturing efficiencies that had suppressed consumer prices for a decade. China faces a sustained ceiling on access to frontier semiconductor technology and the risk of being systematically excluded from the global AI infrastructure layer. Neither side can afford complete separation; neither can accept the other's terms for coexistence. The result is a managed confrontation that will define the architecture of global trade, technology, and investment for the remainder of this decade.

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